interests of London. The Currency Act of 1927 adopted the 1s 6d ratio suggested by the Commission but instead of a gold bullion standard, a gold exchange standard which had been discarded as inflexible by the Commission, was given legal sanction primarily because of the problems Britain was facing in maintaining the pre-war parity with the US dollar. The Reserve Bank Act of 1933 reserved several rights for the Governor General rather than for the Board of Directors, the most important being the appointment of the Governor, the exchange ratio, and the monetary standard.

Mathur, whose analysis is based on personal and private correspondence between the Secretary of State at the India Office and the Viceroy in India, argues persuasively that the delay in establishing the RBI was connived at by the India Office who was loathe to let go of any power in the vital fields of currency and finance. Mathur also refutes Anand Chandavarkar's contention that since British civil servants like Sir Malcolm Hailey and Sir James Taylor were ardent advocates of the Indian view on monetary matters too much should not be read into the delay in setting up the bank. Mathur maintains that neither Hailey nor Taylor had a say on important monetary matters. Taylor worked very closely with the India Office and enjoyed the full confidence of Whitehall. In fact, Taylor had proved his *bona fides* when he suggested to Sir Cecil Kisch of the India Office (at the time the Reserve Bank legislation was being prepared), that there should be a clause whereby control could revert to the Finance Member in case the new bank refused to, or was unable to fulfil its commitments to London.[2] Mathur maintains that Taylor's appointment as Governor after the resignation of Sir Osborne Smith, the first Governor, must be 'understood in the context of the attempt to retain control over a potential rival public entity.'[3]

Arguing in a similar vein, Balachandran says that in contrast to Whitehall's relatively hands-off policy to Indian tariff policies, the decades between the two wars 'saw initially a tightening and later a refinement of London's control over Indian monetary policies.'[4] The major justification for London's control was that its officers were likely to be more sensitive to metropolitan needs than Indian officials (who were themselves subject to pressures and pulls), could ever be.

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